SCHEDULE 71 - Statement of Remeasurement Gains and Losses

General Information

According to PS 1201 Financial Statement Presentation, municipal financial statements may include a statement of remeasurement gains and losses (this statement is only prepared when the municipality has unrealized gains or losses to report). Remeasurement gains and losses result from changes in the value of financial assets and liabilities arising from:

1. Remeasurement of financial assets to fair value

   Public sector accounting standards state that the value of specific financial assets and liabilities should be updated at the financial statement reporting date using current fair value. This includes derivatives and equity instruments. The annual change in the fair value of these assets and liabilities should be reported in the FIR on the statement of remeasurement gains and losses until the assets are sold or the liabilities are paid.

2. Foreign currency exchange rate fluctuations

   All financial assets or liabilities held in foreign currency should be converted to Canadian dollars at the financial statement reporting date. The annual fluctuations in exchange rates are reported in the FIR in the statement of remeasurement gains or losses.

Once the asset is sold or liability paid, unrealized gains or losses become recognized, and the realized gain or loss is reallocated from the accumulated remeasurement gains and losses to the statement of operations.

Line 0299 Accumulated Remeasurement Gains (Losses), Beginning of the Year

This column is automatically populated from the previous year's closing accumulated remeasurement gains (losses) (Line 9910 Column 1 from the previous year).

Unrealized Gains (Losses) Attributable to:

This section is for recording remeasurement gains and losses that arise during the current year.

Line 0410 Foreign Exchange

In this line, record unrealized exchange gains and losses for the current year on items in the amortized cost category denominated in a foreign currency. When an item designated to the fair value category is denominated in a foreign currency, there is no separate disclosure of the unrealized exchange gain or loss.

Line 0420 Derivatives

In this line, record changes for the current year in the fair value of derivatives.

Line 0430 Portfolio Investments

In this line, record changes for the year in the fair value of portfolio investments.

Line 0440 Other Financial Instruments, Designated to Fair Value Category

In this line, record changes for the year in any other financial instruments that are designated to the fair value category.

Line 0499 Subtotal: (SLC 71 0410 01 + 71 0420 01 + 71 0430 01 + 71 0440 01)

The subtotal for remeasurement gains or losses attributable for the current year is equal to the sum of lines 0410 through 0440.

Realized (Gains) Losses, Reclassified to the Statement of Operations:

This section is for recording remeasurement gains and losses that are reclassified during the current year to the statement of operations.

Line 0610 Foreign Exchange

In this line, record exchange gains and losses on items denominated in a foreign currency that have been realized in the current year and are being reallocated to the statement of operations.

Line 0620 Derivatives

In this line, record gains and losses on derivatives that have been realized in the current year and are being reallocated to the statement of operations.

Line 0630 Portfolio Investments

In this line, record gains and losses on portfolio investments that have been realized in the current year and are being reallocated to the statement of operations.

Line 0640 Other Financial Instruments, Designated to Fair Value Category

In this line, record gains and losses on other financial instruments designated to the fair value category that have been realized in the current year and are being reallocated to the statement of operations.

Line 0699 Subtotal: (SLC 71 0610 01 + 71 0620 01 + 71 0630 01+ 71 0640 01)

The subtotal for realized gains or losses reclassified to the statement of operations during the current year is equal to the sum of lines 0610 through 0640.

Line 1099 Other Comprehensive Income (Loss)

In this line, record the municipality's proportionate share of other comprehensive income reported in the financial statements of government business enterprises or business partnerships. Other comprehensive income is excluded from the government's statement of operations as other comprehensive income is not attributable to the net income reported by the government business enterprise or business partnership. Please see PS 1201.095 to .096 for further information.

Line 1299 Net Change in Remeasurement Gains (Losses) for the Year (SLC 71 0499 01 +SLC 0699 01 + SLC 71 1099 01)

This line is automatically calculated as the net change in remeasurement gains (losses) for the year. It is equal to the sum of lines 0499, 0699, and 1099.

Line 9910 Accumulated Remeasurement Gains (Losses), End of Year. (SLC 71 0299 01 +SLC 1299 01)

This line is automatically calculated as the ending remeasurement gains (losses) balance for the year. It is equal to the sum of lines 0299 and 1299. This line carries forward to Schedule 70, line 9981, Column 1 – Accumulated Surplus (Deficit), Remeasurement Gains (Losses).